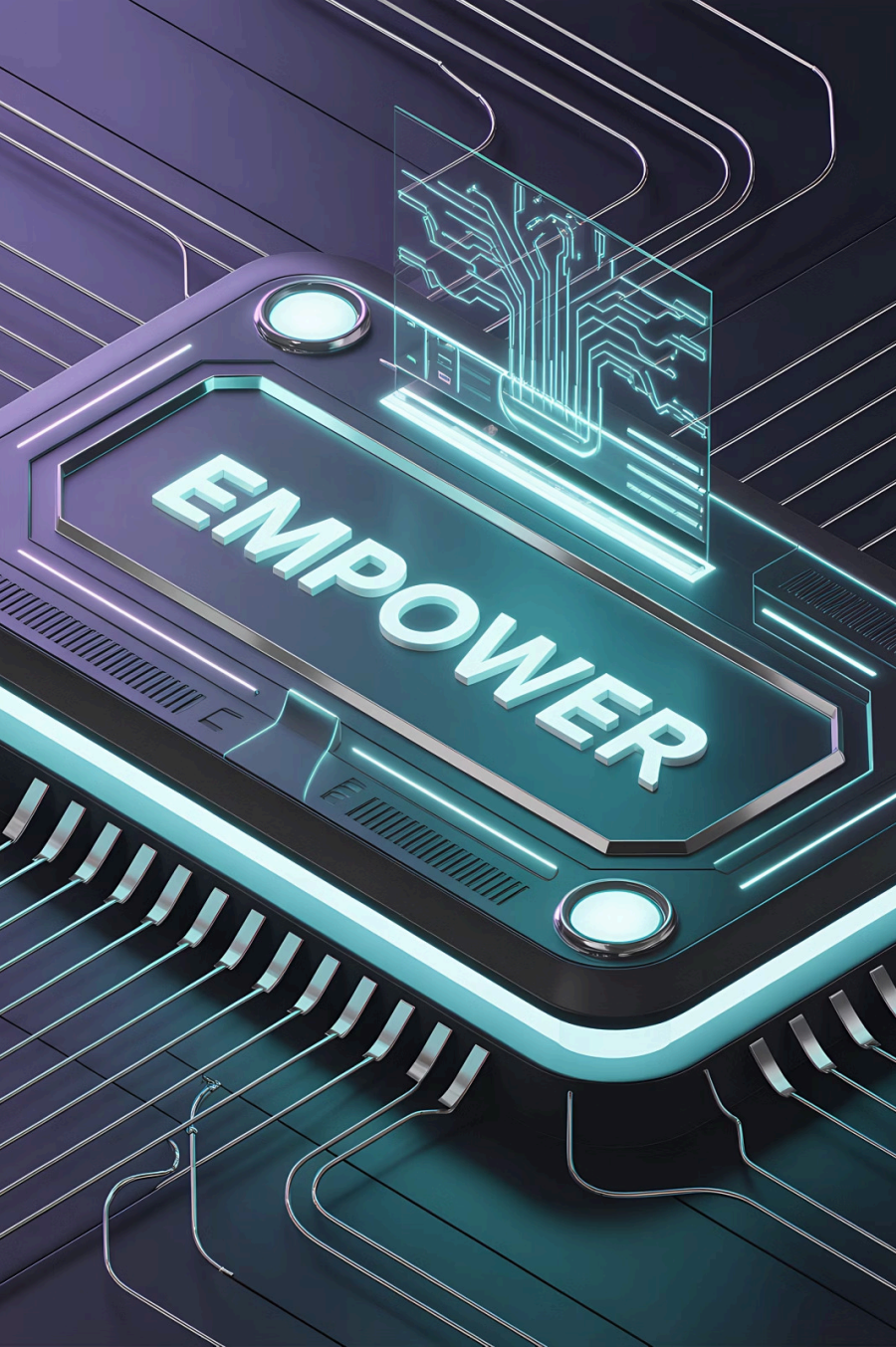




EMPOWER Labs

Session 3: The EMPOWER OS

Today is dedicated to **understanding the EMPOWER Operating System** we'll be using, as well as the assessments and implementation tools that draw on it.

Program Timeline



Milestones: Where You Should Be At This Point



Understand the Customer Lifecycle, 3 Layers of Business Processes, and RACI



Added "Shared Language" to your Master Prompt

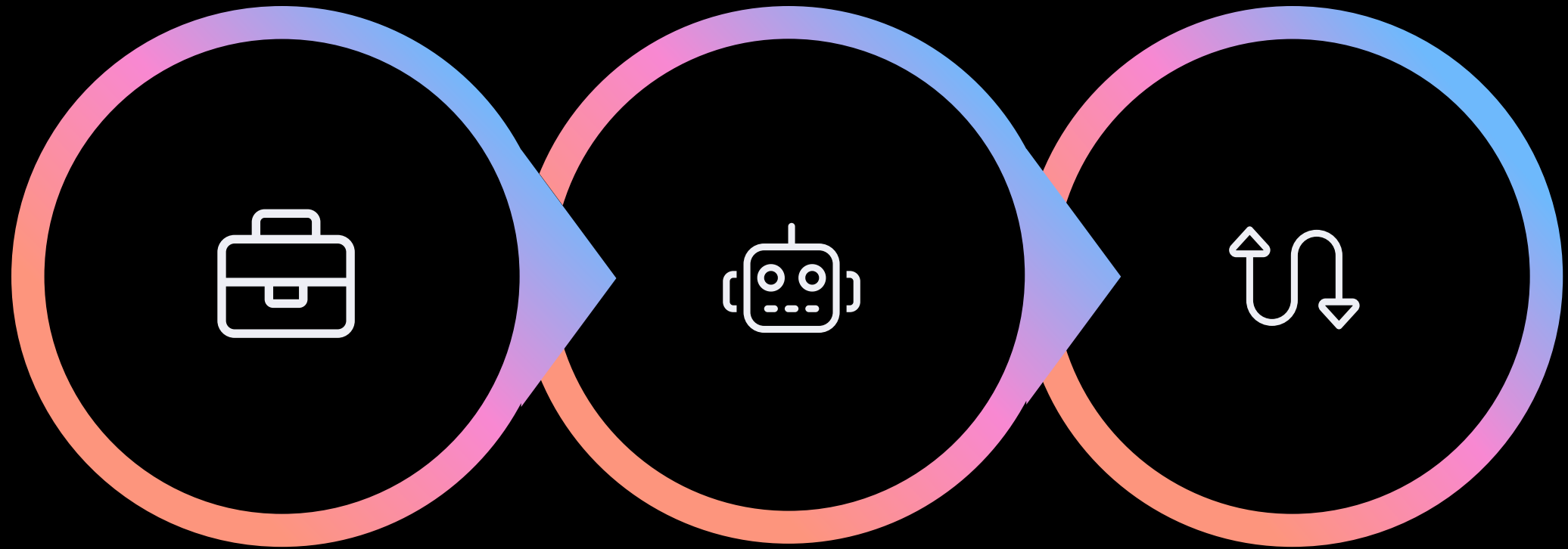


Added resources to your Master Prompt



Poll: Have you completed the exercises up until this session?

What You'll Get Out of This Session



1. Exploring
Operating
Systems

2. Introducing
the EMPOWER
OS

3. Revealing the
Assessment &
SOP Creation



Part 1: Exploring Operating Systems

Operating Systems We Have Drawn From

1 Scaling Up

A robust operating system for scaling companies. A full implementation takes 3+ years.

2 Traction (EOS)

A great intro to operating systems. Simple, actionable, with good tools to get buy-in from first-time leaders. Better for smaller teams in need of accountability. Lacks depth.

3 Scalable OS

A strong OS for small businesses teaching the fundamentals without being overwhelming. Teaches fulfillment engines and playbooks, lacks leadership development, holistic strategic approach and process approach.

4 The Balanced Scorecard

Better for mid-sized companies looking for a rigorous, strategic approach to performance management. You need to be profitable enough to track and develop non-financial drivers of long-term success. *Training > Internal Processes > Customer Experience > Financial Performance.*

5 The Great Game of Business

An operating system that uses open book management and financial literacy as a cornerstone of employee engagement and performance management. It is a powerful framework requiring robust and rigorous financial systems to work well.

6 The 3HAG Way

A system closely related to Scaling Up and connecting tools to deepen strategy. It is based on a 3-year planning cycle to build clarity, speed, and confidence.

Necessary Supplements

Leadership

Leadership team training, internal book clubs around *Radical Candor*, *7 Habits of Highly Effective People*, *Crucial Conversations*, and advanced tools from *Leadership Circle* and others

Financial Literacy

Book clubs around the book *Financial Intelligence*, business simulations from *Profitability.com*, and internal team training

Innovation

Book clubs on *Exponential Organizations 2.0*, *The Lean Startup*, *Reinventing Organizations*, and tools from *Strategyzer*

AI-Enabled Supplements

ISO 9001

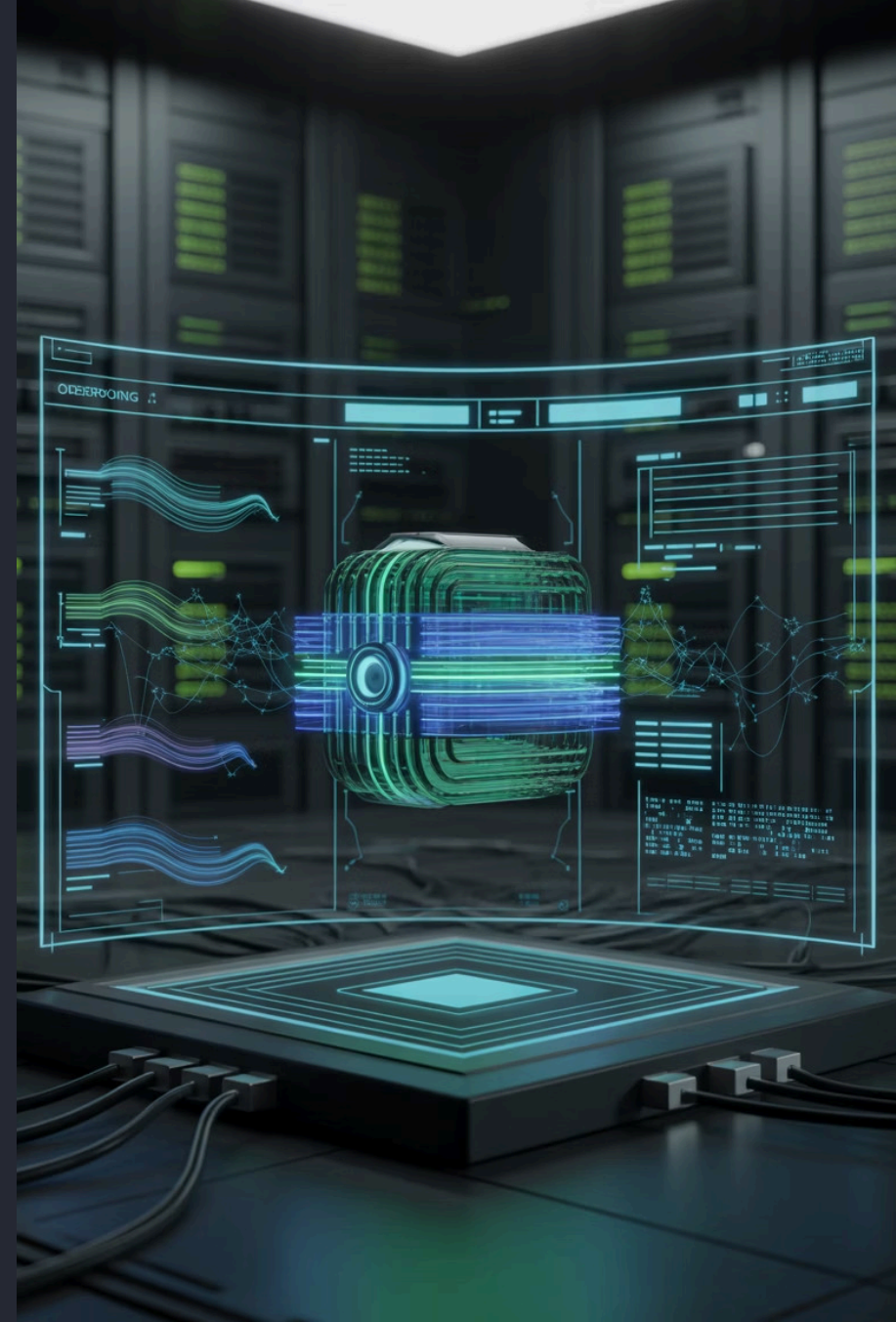
A quality management standard focused on process mapping and documentation

Topgrading

Who: The A Method for Hiring (followup to Topgrading)

Poll

1. **Which of these operating systems have you used in some form or another?** (multiple choice)
2. **For the system you've used predominantly, to what level have you implemented it?**



Part 2: Introducing the EMPOWER Operating System

What is EMPOWER OS?

EMPOWER is a **comprehensive business operating system** designed to evaluate your current processes, assess your business's value, measure your readiness for potential exit opportunities, and understand how to enhance it through process improvement and AI integration.

It was first an **audit checklist** to evaluate portfolio company acquisitions and investments both before and after our change management initiatives were completed.

These initiatives were primarily focused on creating leadership teams that would then create process and train their departments on execution (transforming from stage 1 to stages 2 & 3 companies.)

Later, it **doubled as a diligence framework** when assessing businesses to acquire or make strategic investments in.



How We Will Cover EMPOWER

R – Robust Market Position

Session 10

E – Execution Systems

Session 9

W – Workforce and Leadership

Session 8



E – Expansion Capability

Session 4

M – Marketing and Brand Equity

Session 5

P – Profitability Metrics

Session 6

O – Offering and Sales Effectiveness

Session 7

How It's Different

From the combined experience of 100+ deals completed, dozens more evaluated and advised, and a current portfolio of 25+ partner companies, we've selected OS elements that are:

- **Process-Focused:** Each component connects directly to your core business processes
- **Value-Centered:** Every element ties directly to what buyers and investors actually pay for
- **Implementation-Oriented:** Practical rather than theoretical, with clear action steps
- **Measurable:** Includes specific metrics to track progress in each value driver
- **Scalable:** Works for businesses at different growth stages and across industries



Valuation Evolution & the Importance of EBITDA/Employee

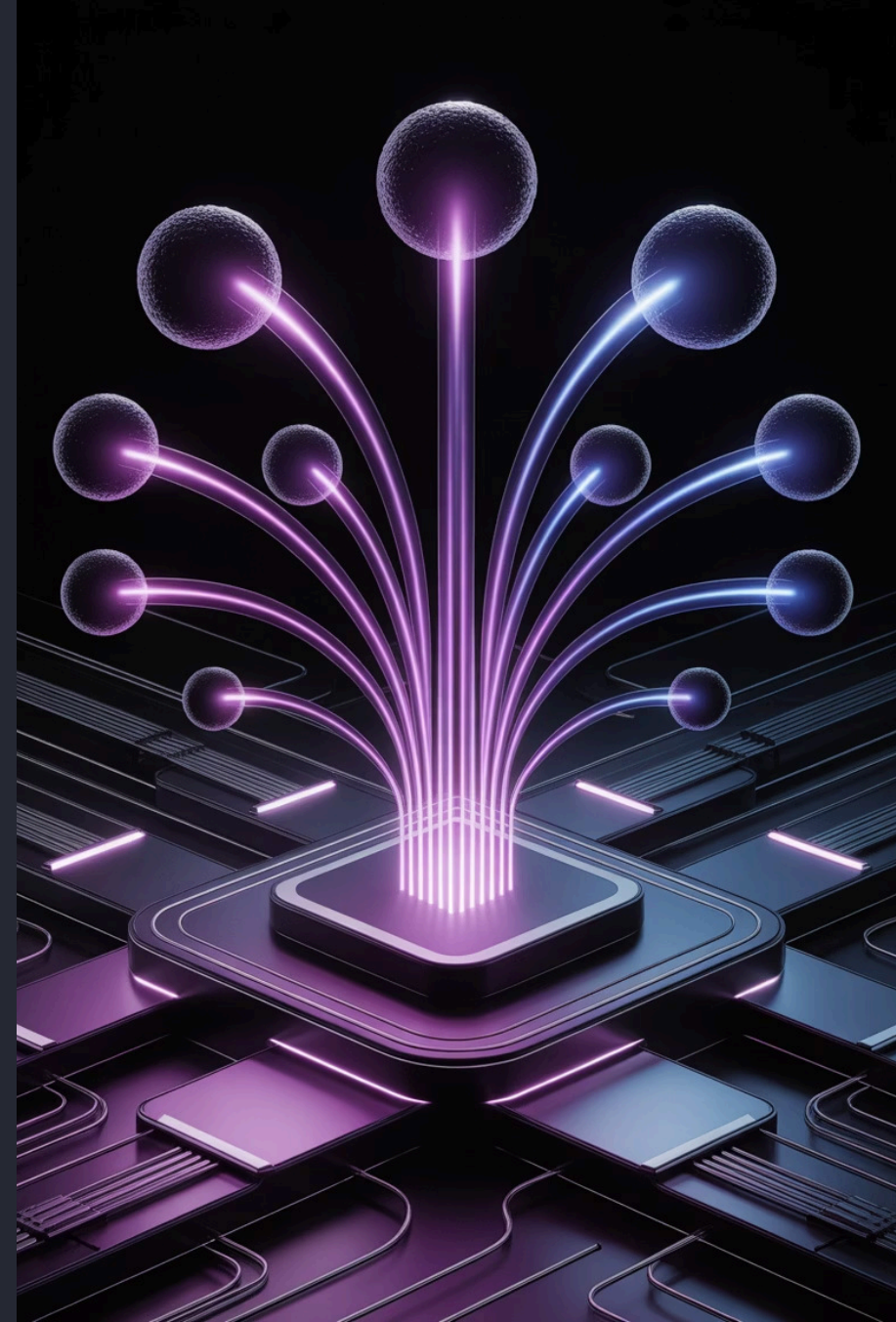
As businesses evolve through the 5 stages, their valuation metrics fundamentally transform:

Stage	<i>EBITDA/employee</i>	Exit multiple	EBITDA Potential	Key value driver
1. Heroic Effort	<i>\$25–75k</i>	2–3x	Rarely exceeds \$1.5M	Owner expertise
2. Team-Lead	<i>\$50K-100K</i>	3–5x	\$2M-\$5M	Systems & repeatability
3. Process-Driven	<i>\$100K-500K+</i>	4–8x+	\$5M-\$10M+	Systems & transferability
4. AI-Augmented	<i>\$150K-1M</i>	Higher based on AI-driven competitive advantages		AI leverage & efficiency
5. AI-Operated	<i>1-2 person billion-dollar companies possible</i>	Unprecedented for companies with true competitive moats		System autonomy & moat

E – Expansion Capability

Your ability to scale operations without proportional increases in costs or complexity.

It addresses the core processes of **Sale to Delivery** and **Delivery to Success**—essentially, how effectively you can onboard new customers, fulfill your value proposition, and ensure their ongoing satisfaction as you grow.



M – Marketing and Brand Equity

The strength of your brand and marketing systems.

It encompasses the **Market to Lead** process as well as **Success to Market**—how you attract potential customers and leverage existing customer success to fuel your marketing efforts.



P – Profitability Metrics

Beyond simple revenue figures, this value driver examines your business's financial health and efficiency.

It aligns with the **Financial Performance Management** enabling process, evaluating how well you track, understand, and optimize financial performance. For those without sophisticated financial trackers, your LLM can become your fractional CFO.



0 – Offering and Sales Effectiveness

This driver focuses on your sales process and how well your offerings meet market needs.

It covers the **Lead to Sale** core process—how efficiently you convert interested prospects into paying customers. It also covers your unique value proposition, and how to position it in a future where execution is democratized.



W – Workforce and Leadership

The quality and structure of your team significantly impact business value.

This component aligns with the **Hire to Retire** enabling process, examining how you recruit, develop, and retain talent at all levels.

With AI integration, you can build sophisticated systems that typically only exist in much larger organizations, allowing smaller businesses to operate with the sophistication of enterprises without the corresponding headcount and overhead costs.



E – Execution Systems

The operational backbone of your business – the systems and processes that ensure consistent delivery.

It relates to the **Quality Management System**, how to embed execution into tools and systems, key milestones, tracking KPIs & exceptions, internal audits, and creating a continuous feedback loop.

This space is ripe for disruption with AI.



R – Robust Market Position

Your competitive stance and future-readiness are essential to business value.

This component examines the **PESTLE framework** as well as your **Product/Service Development** processes and overall strategic position in your market.



Part 3: Revealing the Assessment & SOP Creation

Introducing the Assessment

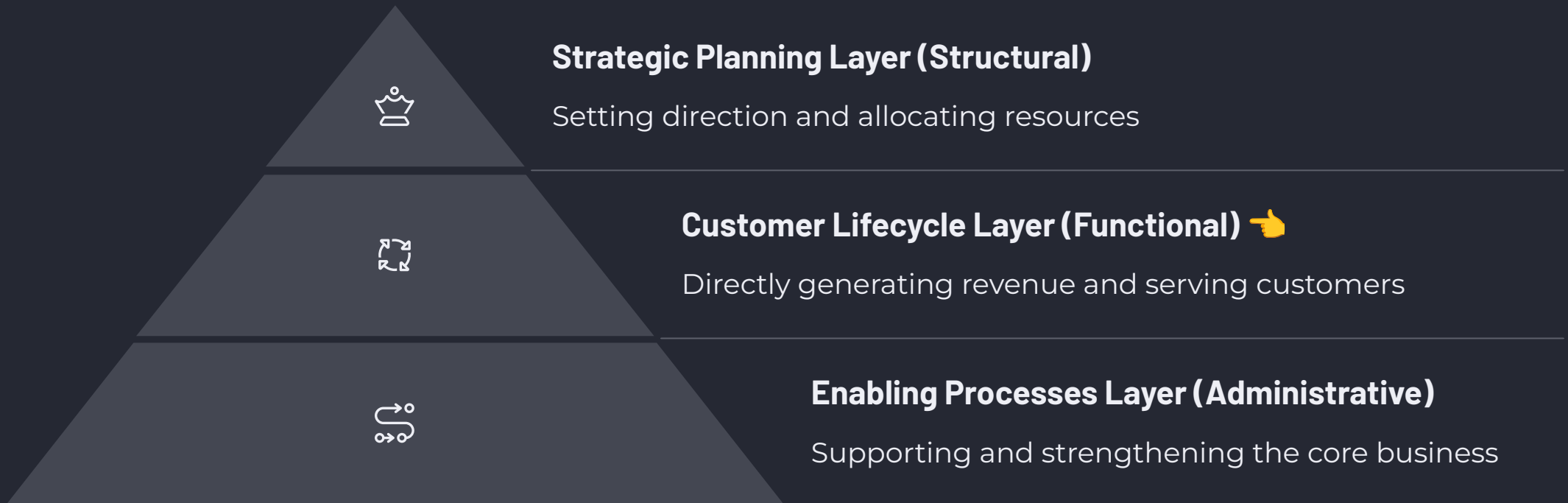
We've created a **comprehensive assessment** (based on over 100 acquisitions and exits) to help you **evaluate every core process** and pinpoint **specific actions to improve it**.

The output is a **result report** with...

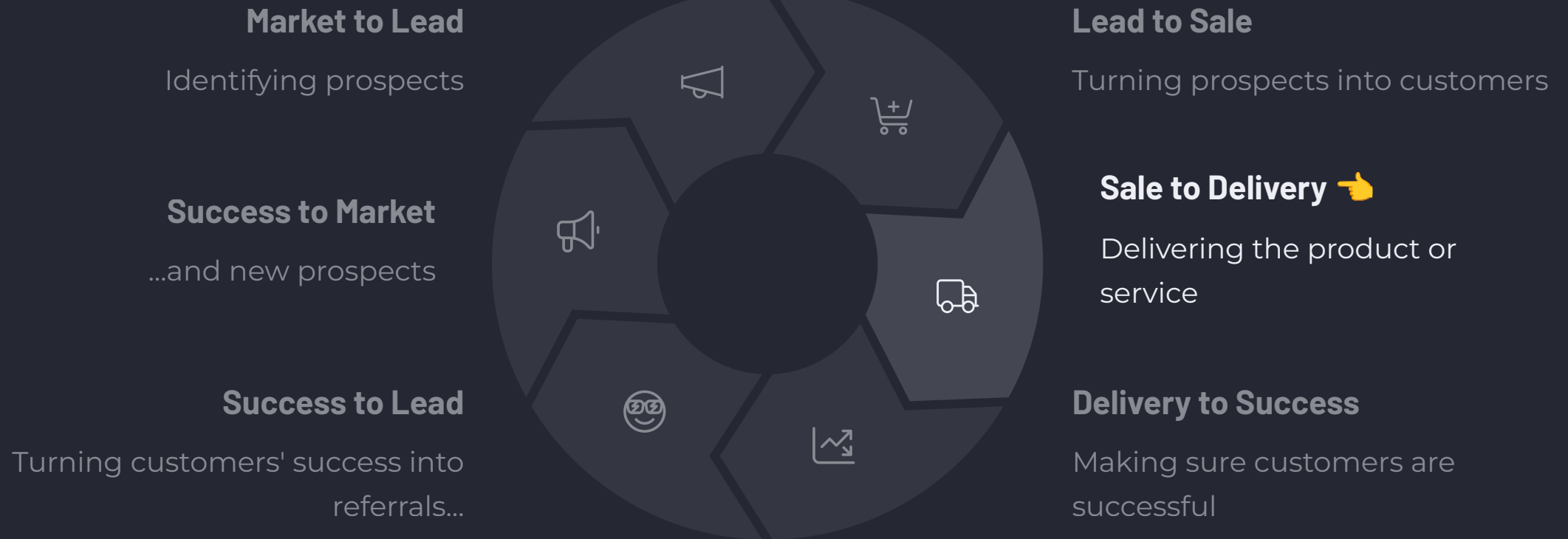
- Process Effectiveness Score
- Owner Involvement Score



The 3 Types of Business Process



The 6 Stages of the Customer Lifecycle (Core Processes)



Assessment Scoring

Process Effectiveness

- **7 points** = Excellent systems and processes in place
- **5 points** = Good systems that need minor improvements
- **3 points** = Basic systems exist but need significant improvement
- **1 point** = Minimal or ad-hoc approach
- **0 points** = No systems exist or unknown

Owner Involvement

- **5 points** = Not at all / Informed (one-way communication only)
- **3 points** = Consulted (provides input but isn't directly involved)
- **1 point** = Accountable (has final approval/oversight but doesn't do the work)
- **0 points** = Responsible (actively does the work)

What the Assessment Will Help You Achieve



Identify Deficiencies

The result report will be used by your AI to help with an implementation plan



Enable Delegation

Identify where you as an owner can delegate and give you a priority plan to do so



Receive Targeted Suggestions

Based on the size of your organization and your current level of owner involvement



Walkthrough

Assessment (Sale to Delivery)



Walkthrough

Level 1 & 2 SOP (Sales to Delivery)



Q&A

Your turn to ask your questions.



Your Exercises Going Forward

- In each live session, we will **address one key process**
- You'll **run the assessment** for every process to create a current score
- Then, use AI to **generate Level 1 and Level 2 SOPs** for the process



Your Next Steps

01

Run the Assessment (Sale to Delivery)

Assess your organization's performance, gauge the dependence on the owner, and identify areas for improvement

02

Discover the 4-Level Documentation Framework

A 4-level hierarchy separating strategic thinking from tactical execution.

03

Add the 4-Level Documentation Framework to Your Master Prompt

We're teaching Claude how to create SOPs for us.

04

Explore AI-First Process Creation

Build bulletproof business processes without sacrificing speed.

05

Create the Level 1 & 2 SOP (Sale to Delivery)

Create a map of the core process "Sale to Delivery" (Level 1) as well as blueprints for each functional area within the process (Level 2).

Live Session 4: Expansion Capability

Monday, February 2nd at 10 am PT / 1 pm ET

